nairobi securities exchange
Discover Opportunity

ANNOUNCEMENT OF UNAUDITED RESULTS FOR THE SIX MONTHS ENDED 30 JUNE 2015

The Board of Directors of the Nairobi Securities Exchange Limited (NSE) is pleased to announce the unaudited results of the company for the six months ended 30 June 2015

Condensed Statement of Profit or Loss and Other Comprehensive Income For the	6 Months Ended 30.06.2015 Kshs '000	6 Months Ended 30.06.2014 Kshs '000	12 Months Ended 31.12.2014 Kshs '000
Operating income	314,345	300,218	641,736
Interest income	44,241	13,536	39,514
Other income	42,544	39,444	140,651
Total income	**401,130**	**353,198**	**821,901**
Administrative expenses	(203,458)	(184,667)	(389,466)
Finance costs	-	(10,260)	(14,290)
Share of profit of associate company	21,072	20,590	23,741
Net recovery on doubtful debts	-	-	(75)
Profit before taxation	**218,744**	**178,861**	**441,811**
Taxation charge	(40,164)	(50,980)	(121,770)
Profit for the period	**178,580**	**127,881**	**320,041**
Other comprehensive income	-	-	26
Total comprehensive income	**178,580**	**127,881**	**320,067**
Earnings Per Share* - Basic and diluted (Kshs)	**0.92**	**0.99**	**2.13**
*EPS based on weighted average no. of shares	194,625,000	128,625,000	150,020,604

Condensed Statement of Financial Position As at	30.06.2015 Kshs '000	30.06.2014 Kshs '000	31.12.2014 Kshs '000
Assets			
Non current assets	871,120	879,754	897,037
Current assets	1,021,498	264,206	788,067
Total assets	**1,892,618**	**1,143,960**	**1,685,104**
Equity and liabilities			
Share capital	778,500	514,500	778,500
Share premium	277,185	-	277,185
Revenue reserves	591,483	294,663	486,861
Revaluation reserves	516	528	516
Non current liabilities	12,496	91,096	13,536
Current liabilities	232,438	243,173	128,506
Total shareholders' funds and liabilities	**1,892,618**	**1,143,960**	**1,685,104**

Condensed Statement of Cashflows For The	6 Months Ended 30.06.2015 Kshs '000	6 Months Ended 30.06.2014 Kshs '000	12 Months Ended 31.12.2014 Kshs '000
Cash flows from operating activities			
Cash generated from operations	259,140	100,749	317,277
Tax paid	(77,534)	(105,135)	(160,417)
Net cash generated from/(used in) operating activities	181,606	(4,386)	156,860
Net cash generated from/(used in) investing activities	66,832	2,924	(7,658)
Net cash (used in)/generated from financing activities	(5,587)	(89,478)	321,405
Increase/(decrease) in cash and cash equivalents	**242,851**	**(90,940)**	**470,607**
Cash and cash equivalents at the beginning of the period	640,655	170,048	170,048
Cash and cash equivalents at the end of the period	**883,506**	**79,108**	**640,655**

Condensed Statement of Changes in Equity For the Six Months Ended	Share capital Kshs'000	Share premium Kshs '000	Retained earning Kshs '000	Revaluation reserves Kshs '000
At 1 January 2014	**24,500**	**-**	**705,782**	**528**
Bonus issue	490,000	-	(490,000)	-
Profit for the period	-	-	127,881	-
2013 dividend declared in the year	-	-	(49,000)	-
At 30 June 2014	**514,500**	**-**	**294,663**	**528**
Shares issued	264,000	363,000	-	-
Share issue costs	-	(85,815)	-	-
Profit for the period	-	-	192,186	-
Transfer of excess depreciation	-	-	17	(17)
Deferred tax on transfer of excess depreciation	-	-	(5)	5
At 31 December 2014	**778,500**	**277,185**	**486,861**	**516**
Profit for the period	-	-	178,580	-
2014 dividend declared in the year	-	-	(73,958)	-
At 30 June 2015	**778,500**	**277,185**	**591,483**	**516**

Explanatory Notes

The above financial statements are extracts of the unaudited financial results of the NSE. The accounting policies used in preparing these unaudited financial statements are consistent and should be read in conjunction with those used for the annual financial statements for the year ended 31 December 2014. The unaudited results for the six months ended 30 June 2014 and published in August 2014 have been restated to include the profit from the associate company for the same period as this had not been incorporated in the published results.

FINANCIAL HIGHLIGHTS

- Total income for the six months to June 2015 increased by 14% from Kshs. 353.2 Million in the six months ended 30 June 2014 to Kshs. 401.1 Million. This resulted from an increase in equity turnover by 6% to Kshs. 213 Billion for the six months ended 30 June 2015 as compared to Kshs. 201 Billion for the similar period in 2014. In the same period, interest income also increased by Kshs. 30.7 Million or over 100% from Kshs. 13.5 Million in June 2014 to Kshs. 44.2 Million in June 2015 as a result of investment of the company's retained earnings.
- Profit before tax increased by 22% to Kshs. 218.7 Million for the six months ended 30 June 2015 from Kshs 178.9 Million recorded in the same period last year.
- Total assets increased by 66% from Kshs. 1.14 Billion to Kshs. 1.89 Billion as at 30 June 2015.

SUBSIDIARY

On 28 May 2015, the authorized share capital of the subsidiary, NSE Clear was increased from Kenya Shillings One Hundred Thousand (Kshs. 100,000/-) divided into One Hundred (100) ordinary shares of Kenya Shillings One Thousand (Kshs. 1,000/-) each to Kenya Shillings Twenty Million (Kshs. 20 Million) divided into Twenty Thousand (20,000) ordinary shares of Kenya Shillings One Thousand (Kshs. 1,000/-).

OUTLOOK FOR THE REST OF THE YEAR

Top line revenue grew marginally in the first half of 2015 as a result of decline in trading activity as a result of the impact of capital gains tax. In addition, macroeconomic challenges affected not only Kenya, but also the broader African economies. The Monetary Policy Committee adjusted the Central Bank reference rate as the Kenya Shilling lost traction against the majors while inflationary pressure re-emerged.

The Exchange is on course to launch the derivatives market which will provide a convenient and transparent hedging mechanism for currency and interest-rate risks. In addition, we are working on the launch of new inflation-linked products that will lock-in real returns for investors.

The upgrade of the Automated Trading System (ATS) has commenced and once completed, will allow the Exchange to better support its new product and service offerings.

On 16 July 2015, the NSE registered the Settlement Guarantee Fund (SGF) – a fund established to strengthen the financial integrity of the derivatives market and to ensure settlement of transactions in the remote case of default by a clearing member.

On the same date, the NSE set up the Investor Protection Fund (IPF) – a fund created to satisfy potential claims of clients against trading members should adverse events occur.

On 19 August 2015, the NSE capitalized the NSE Clear, the SGF and the IPF to the tune of Kshs. 20 Million, Kshs. 100 Million and Kshs. 10 Million respectively.

The Board of Directors of the Exchange is optimistic of continued good performance in the second half of 2015.

DIVIDENDS

The Board of Directors do not recommend the payment of an interim dividend for the first half of the year 2015.

By Order of the Board

Geoffrey O. Odundo
Chief Executive
Nairobi,
24 August 2015